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CASE #	CASE NAME	HEARING NAME
CVME2505763	ANDERSON VS GENERAL MOTORS, LLC	MOTION FOR ATTORNEYS FEES

Tentative Ruling: Motion is Granted. Plaintiff awarded Attorney's Fees of 27,717.50 and \$3,237.96 in litigation costs and expenses, for a total of \$30,955.46.

Plaintiffs now move for attorneys' fees and costs as the prevailing party under Civ. Code § 1794(d) following GM's accepted 998 Offer, seeking attorneys' fees of \$35,940.00, a 0.10 lodestar multiplier of \$3,594.00 to account for the contingent nature of the representation and the delay in payment, and litigation costs and expenses of \$3,237.96, for a combined initial request of \$42,771.96. Plaintiffs contend that GM refused to informally resolve the fee dispute, that The Barry Law Firm's rates up to \$695 per hour have been repeatedly approved by courts in comparable Song-Beverly matters, and that all hours claimed, including prelitigation investigation, client communications, travel, and anticipated fee motion work, were reasonably incurred in pursuit of the settlement ultimately achieved.

GM opposes the motion, characterizing this action as a model example of the low friction Song-Beverly litigation AB 1755 was designed to streamline: filed, negotiated, and settled within roughly seven months. GM contends that counsel's fee request is disproportionate on its face and that at least 45.9 of the 66.8 hours claimed were not reasonably incurred. GM targets specific categories of billed time for reduction, including excessive fee motion preparation, anticipated hours reserved to oppose a motion to tax costs GM never filed, non-compensable travel to Plaintiffs' Nevada depositions, time devoted to the fraudulent concealment and CLRA claims, hours spent on GM's motion for protective order, redundant post-filing client communications, pre-engagement work, and clerical or administrative tasks billed at attorney rates. GM argues that no multiplier is warranted in a routine seven-month AB 1755 case, and asks the Court to award no more than \$7,645.32 in fees and \$1,301.48 in costs.

In reply, Plaintiffs note that GM does not object to their hourly rates and voluntarily withdraw 6.4 hours billed at Mr. Barry's \$695.00 hourly rate (a reduction of \$4,448.00) because GM did not file the anticipated motion to tax costs. Plaintiffs argue that GM's remaining objections amount to unsupported attorney opinion, unaccompanied by any competing time entries or evidentiary showing sufficient to rebut Plaintiffs' documented billing records. Plaintiffs further contend that counsel's use of templates promotes efficiency rather than warranting a reduction, that the fraudulent concealment work is intertwined with the Song-Beverly claims and is separately compensable under the CLRA in any event, and that because GM did not file a timely motion to tax costs, all costs claimed must be awarded. Plaintiffs accordingly request a reduced total award of \$37,879.16.

Attorneys' Fees - Civ. Code § 1794(d) provides that if a buyer prevails in an action under the Song-Beverly Consumer Warranty Act, the buyer shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the

commencement and prosecution of such action. (Civ. Code § 1794(d).) The prevailing buyer must establish entitlement to fees and the reasonableness of the fees claimed. (*Reynolds v. Ford Motor Co.* (2020) 47 Cal.App.5th 1105, 1110.)

The lodestar method is the fundamental framework for determining a reasonable attorney fee award under California law. (*Reynolds, supra*, 47 Cal.App.5th at 1113–14; *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131–32.) The lodestar figure is calculated by multiplying the number of hours reasonably expended by counsel by a reasonable hourly rate. (*Ketchum, supra*, 24 Cal.4th at 1131–32.) The reasonable hourly rate is that prevailing in the community for similar work. (*PLCM Grp., Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095; *Pulliam v. HNL Automotive Inc.* (2021) 60 Cal.App.5th 396, 405.)

A verified time statement is entitled to credence in the absence of a clear indication that the statement is erroneous. (*Horsford v. Bd. of Trustees of Cal. State Univ.* (2005) 132 Cal.App.4th 359, 396.) Once the moving party submits billing records sufficient to document the hours expended and the hourly rates charged, the burden shifts to the party opposing the fee award to point to the specific items challenged, with a sufficient argument and citations to the evidence. (*Premier Med. Mgmt. Sys., Inc. v. Cal. Ins. Guarantee Ass’n* (2008) 163 Cal.App.4th 550, 564.) General assertions that the total time is excessive or that counsel used inefficient staffing do not meet this burden absent identification of specific time entries and supporting evidence or argument. (*Id.*)

“[A]bsent circumstances rendering the award unjust, an attorney fee award should ordinarily include compensation for all the hours reasonably spent, including those relating solely to the fee.” (*Ketchum, supra*, 24 Cal.4th at 1141; *Serrano v. Unruh* (1982) 32 Cal.3d 621, 639.) This includes time reasonably spent preparing the fee motion, reviewing the opposition, and preparing the reply. (*Id.*)

Fees need not be apportioned between causes of action if the claims involve a common core of facts or are based on related legal theories. (*Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 159; *see also Pulliam, supra*, 60 Cal.App.5th at 410–11.) In Song-Beverly cases alleging fraudulent concealment, courts have declined to require apportionment where the fraud and warranty claims rest on the same set of alleged defects and disclosures. (*Santana v. FCA US, LLC* (2020) 56 Cal.App.5th 334, 349–50.)

The lodestar figure may be adjusted upward or downward by applying a multiplier based on factors including the novelty and difficulty of the questions involved, the skill displayed in presenting them, the extent to which the nature of the litigation precluded other employment by the attorneys, and the contingent nature of the fee award. (*Ketchum, supra*, 24 Cal.4th at 1132.) “[M]any of the factors” bearing on a multiplier “are subsumed in the lodestar” itself. (*Id.* at 1138–39.) Consequently, adjustment of the lodestar is appropriate only where the lodestar figure does not adequately take into account considerations not fully reflected in the lodestar calculation. (*Id.*)

Hourly Rates - Plaintiffs’ counsel’s hourly rates as requested are David N. Barry (firm principal/managing partner), \$695.00; Kristopher Storti (associate), \$600.00; Andrew P. Matera (associate), \$550.00; Otis R. Hayes III (associate), \$550.00; and Christopher

Derhartounian (associate), \$350.00. (Barry Decl. ¶¶ 4–8; Storti Decl. ¶ 7; Matera Decl. ¶ 7; Hayes Decl. ¶ 7; Derhartounian Decl. ¶ 10.)

GM does not object to Plaintiffs' hourly rates. A reasonable hourly rate is nevertheless the rate prevailing in the community for similar work. (*Garcia v. Mercedes-Benz USA, LLC* (2018) 21 Cal.App.5th 1259, 1261.) To promote consistency across similar Song-Beverly matters, the Court applies the reasonable Riverside County community rates it uses in comparable fee motions and approves the following rates for the timekeepers on this matter: Mr. Barry, \$650.00 (managing partner, reduced from \$695.00); Mr. Storti, \$375.00 (associate, reduced from \$600.00); Mr. Matera, \$375.00 (associate, reduced from \$550.00); Mr. Hayes, \$375.00 (associate, reduced from \$550.00); and Mr. Derhartounian, \$350.00.

Hours Billed - The Court now turns to GM's specific objections to hours billed. The Court addresses each category of objection raised in GM's opposition.

Fee Motion Time and Anticipated Motion to Tax Costs

GM challenges 12.0 hours (\$8,224.50) billed in connection with the fee motion, which GM contends amounts to approximately 18 percent of the total time claimed. GM argues that approximately 8.0 of the 12.0 hours represent placeholder or anticipated time for a reply and hearing on an anticipated motion to tax costs that had not occurred as of the filing of the motion, which GM contends is improper speculative billing.

Plaintiffs reply that a prevailing party is entitled to recover fees for time spent preparing and litigating the fee application itself. Plaintiffs further represent that, because GM did not file the anticipated motion to tax costs, they have voluntarily withdrawn 6.4 hours billed at Mr. Barry's \$695.00 hourly rate, resulting in a \$4,448.00 reduction to their fee request.

The Court agrees that a prevailing party is entitled to compensation for all hours reasonably spent litigating the fee application itself, including drafting the motion, reviewing the opposition, and preparing the reply. (See *Ketchum, supra*, 24 Cal.4th at 1141; *Serrano, supra*, 32 Cal.3d at 639.) Plaintiffs have voluntarily reduced the claimed fee motion time by 6.4 hours in light of the fact that no motion to tax costs was filed. The remaining fee motion time is reasonable for a contested motion in a seven-month Song-Beverly case that resulted in a \$65,000 settlement. The Court therefore declines to further reduce fee motion time.

Non-Compensable Travel Time - GM challenges 8.6 hours (\$4,730.00) billed by Plaintiffs' counsel (Otis R. Hayes III) on October 22–23, 2025 for travel to Plaintiffs' depositions, which GM contends is nearly four times the length of the depositions themselves. GM argues that attorney travel time is a cost of doing business, does not require legal skill, and is not properly charged to the client or to GM.

Plaintiffs reply that reasonable attorney travel time incurred during the course of litigation may be compensated at full hourly rates where that is the practice in the relevant community. Plaintiffs further note that Mr. Hayes's travel was necessary to

attend Plaintiffs' depositions in Nevada. (Barry Decl. ¶ 15, Ex. 2 [10/22/2025 billing entry describing "Travel: to Nevada for Plaintiffs' Anderson, Rubin & Yvonne depositions"].)

Plaintiffs' argument has merit. Attorney travel time is compensable under Civ. Code § 1794(d) when reasonably incurred in the course of litigation and charged at prevailing community rates. The billing records reflect that Mr. Hayes traveled to Nevada on October 22, 2025, in order to attend Plaintiffs' depositions in person. (*Id.*) Here, attending Plaintiffs' depositions in person reflects a reasonable exercise of professional judgment, notwithstanding GM's election to take the depositions by remote videoconference. (Kay Decl. ¶ 12.) GM has not identified any particular billing entry within the 8.6 hours that reflects excessive time, and has offered no evidence that Mr. Hayes could have adequately defended his clients without traveling to their location. On this record, 8.6 hours of travel time to attend Plaintiffs' depositions is reasonable. GM's objection is overruled.

Fraud Claim Time - GM challenges 8.2 hours (\$3,428.00) that it contends were billed in connection with Plaintiffs' fraudulent concealment claim and GM's demurrer and motion to strike punitive damages from the FAC, arguing that when a cause of action for which fees are recoverable is joined with a cause of action for which fees are not recoverable, the time spent on the non-fee claim must be excluded from the lodestar. In support, GM relies on *Santana*. (*Santana*, *supra*, 56 Cal.App.5th at 349–50.)

Plaintiffs reply that the court's holding in *Santana* turned on whether the two causes of action were intertwined or whether the issue being litigated stemmed from a set of facts common to both causes of action, and that the *Santana* court held, in the plaintiffs' favor, that the fees incurred for both the fraud and Song-Beverly causes of action could not be apportioned. Plaintiffs argue that, like the defendant in *Santana*, GM has made no argument that Plaintiffs' fraud cause of action and Song-Beverly causes of action do not stem from a common set of facts, which Plaintiffs contend they clearly do.

The Court agrees with Plaintiffs. The FAC alleges that GM failed to disclose a known transmission defect and failed to conform the Vehicle to warranty—a unified factual core underlying the Song-Beverly, fraud, and CLRA causes of action. (FAC ¶¶ 15–40, 44–96.) Under the rule that fees need not be apportioned when claims share a common core of facts or are based on related legal theories, no wholesale reduction for fraud-related time is warranted. (*Pulliam*, *supra*, 60 Cal.App.5th at 411–12; *Santana*, *supra*, 56 Cal.App.5th at 349–50.) GM has not identified specific time entries that are exclusively directed at fraud and separable from the Song-Beverly work. Absent such particularized showing, the Court declines a categorical reduction for fraud claim time.

Protective Order Time - GM challenges 6.8 hours (\$3,070.00) billed in connection with GM's motion for protective order, arguing that counsel has stipulated to GM's proposed protective order hundreds of times over but has now taken to repeatedly refusing to sign the standard protective order in its AB 1755 cases, for no reason. GM argues that it should not be required to compensate counsel for time spent opposing a protective order that counsel has agreed to in every other case simply because counsel has now decided to take an unreasonable litigation position for the sake of running up billable hours.

Plaintiffs do not address this objection directly in their reply. Even without a substantive response from Plaintiffs, GM bears the burden as the challenging party to point to specific items and explain why they are unreasonable. (*Premier Med. Mgmt. Sys.*, *supra*, 163 Cal.App.4th at 564.) GM's assertion that counsel routinely stipulates to the same protective order in other cases is a factual contention about counsel's practice in unrelated matters, not a demonstration that the 6.8 hours billed in *this* case were unreasonable or excessive. GM has not shown that the protective order litigation in this case involved no genuine dispute, and it has not cited evidence showing that the work was duplicative or unnecessary in light of the specific briefing and procedural history here. Without a particularized showing that the time was objectively unreasonable, the Court declines to reduce the hours claimed for protective order work.

Redundant and Excessive Client Communications - GM challenges 6.6 hours (\$3,990.00) billed across 19 separate entries after the complaint was filed for communicating with Plaintiffs "re case status." GM contends this volume of client communication is excessive for a case in which Plaintiffs were required only to provide limited information for initial disclosures and attend their own depositions, and asks that the time be reduced by half, or 3.3 hours (\$2,835.00).

Plaintiffs reply that GM's objection is unsupported attorney opinion, unaccompanied by any competing time entries or evidentiary showing sufficient to rebut Plaintiffs' documented billing records, and that GM has failed to identify any specific entry that is duplicative or excessive. Plaintiffs further argue that GM's own litigation conduct, including its demurrer, motion to strike, motion for entry of a protective order, and the parties' law and motion practice, generated the case status communications GM now challenges as excessive.

Attorney-client communication is compensable when "reasonably necessary to the prosecution of the litigation and [] reasonable in amount." (*Morris v. Hyundai Motor Am.* (2019) 41 Cal.App.5th 24, 34 [internal quotation marks & citations omitted].) The reasonableness of 6.6 hours over a seven-month period for two clients in a case that involved pleadings, discovery, depositions, and settlement is within the range of normal professional practice. GM has not demonstrated that specific entries were duplicative, clerical, or unnecessary. The Court declines to reduce client communication time.

Pre-Engagement Time - GM challenges 2.6 hours (\$910.00) billed by Mr. Derhartounian to the file before Plaintiffs were engaged as clients of the firm. GM argues that time spent evaluating a potential client prior to engagement is a cost of doing business that should be treated as firm overhead, and that such time is not properly billed retroactively to the client and therefore is not properly recoverable from GM.

Plaintiffs reply that GM offers no support for why it believes that pre-litigation activities are somehow not compensable despite case law holding contrary.

Pre-litigation investigation and case evaluation may be compensable when the work is reasonably necessary to and intertwined with the eventual prosecution of the claim. (*Sokolow v. Cnty. of San Mateo* (1989) 213 Cal.App.3d 231, 250; *see also Ketchum*, *supra*, 24 Cal.4th at 1141.) Here, counsel's pre-engagement evaluation

included reviewing documents, communicating with prospective clients, and assessing whether to file suit, all steps directly connected to commencing the action on May 20, 2025. The Court finds 2.6 hours of pre-engagement time reasonable and declines GM's request for a \$910.00 reduction.

Clerical and Administrative Tasks - GM challenges at least 0.4 hours (\$140.00) that it contends were billed by counsel, mostly in 0.1-hour increments, on purely administrative or case management tasks. GM argues that clerical work is not compensable in a fee award even when performed by an attorney, because it does not require legal skill.

Plaintiffs do not directly address this objection. Even without a substantive response from Plaintiffs, GM bears the burden as the challenging party to identify the specific entries it contends are clerical. (*Premier Med. Mgmt. Sys.*, *supra*, 163 Cal.App.4th at 564.) GM has not identified which specific 0.1-hour entries it challenges. Without a particularized showing, the Court cannot determine which entries are at issue or whether they are in fact non-legal tasks. Conclusory assertions of at least 0.4 hours spread across the entire billing record do not meet GM's burden of demonstrating that particular hours should be excluded. The Court declines to reduce the lodestar for unidentified clerical tasks.

Excessive Time on Statutorily Prescribed Disclosures - GM challenges 0.8 hour (\$280.00) billed to draft Plaintiffs' statutorily prescribed initial disclosures and document production, and separately challenges 0.8 hour (\$280.00) billed to review GM's initial disclosures. GM argues that because this case was filed under AB 1755, which requires the exchange of specific, limited, and repetitive information, and because Plaintiffs' production consisted of only 25 pages, spending nearly an hour on the drafting task is excessive. GM further argues that GM's own initial disclosures are mandated by AB 1755 and do not vary from case to case, and that the time counsel claims to have spent reviewing those standard disclosures is therefore likewise excessive.

Plaintiffs reply that GM's argument reduces to a contention that counsel used templated discovery in this matter similar to other matters and that a reduction is therefore warranted. Plaintiffs contend, however, that a review of their initial disclosures shows the disclosures are unique to the repair history of the specific vehicle in question, and that although Plaintiffs' counsel does use templates for discovery, billable work is still required to tailor the disclosures and document production to the specific facts of each case.

Even under AB 1755's streamlined disclosure procedures, counsel must review the record, identify relevant documents, and draft responses specific to the case. Spending 1.6 hours total to draft and review the disclosures is reasonable. The Court declines to reduce this time.

Overstaffing - GM argues that five attorneys billed on this matter that lasted seven months, that counsel has not explained the size of the team for a routine breach of warranty case, and that no justification has been offered for having a \$695 per hour attorney perform routine tasks. GM requests a 15 percent reduction to the lodestar on this ground.

Plaintiffs do not directly address GM's overstaffing objection in their reply, though in their opening motion they contend that The Barry Law Firm's use of multiple counsel was permissible because the demands of the case warranted it.

The use of multiple attorneys is not per se unreasonable. The relevant question is whether the work performed was duplicative or inefficient, and GM bears the burden of identifying specific entries reflecting unnecessary overlap. (*Premier Med. Mgmt. Sys.*, *supra*, 163 Cal.App.4th at 564.) As with GM's other categorical challenges, GM has not identified specific entries showing unnecessary overlap or redundant work on the same tasks, and the billing records reflect that different attorneys handled different aspects of the case. Absent a particularized showing of duplication, and given that the Court has already independently adjusted counsel's hourly rates to the community rates it applies in comparable matters, the Court declines GM's request for an additional 15 percent reduction.

Summary and Lodestar Calculation - GM has failed to meet its burden on the challenged categories of hours. The Court declines all requested reductions to hours except as already reflected in Plaintiffs' voluntary withdrawal of 6.4 hours of Mr. Barry's time. Applying the approved Riverside County community rates set forth above to the reasonably incurred hours, the lodestar is calculated as follows:

Timekeeper	Title	Hours	Rate	Lodestar
David N. Barry	Managing Partner	20.6 (27.0 less 6.4 withdrawn)	\$650	\$13,390.00
Kristopher Storti	Associate	1.3	\$375	\$487.50
Andrew P. Matera	Associate	1.9	\$375	\$712.50
Otis R. Hayes III	Associate	12.7	\$375	\$4,762.50
Christopher Derhartounian	Associate	23.9	\$350	\$8,365.00
Total		60.4		\$27,717.50

Based on the above, the approved lodestar is **\$27,717.50** (60.4 hours).

Multiplier - Plaintiffs request a 0.10 lodestar multiplier based on the contingent nature of the representation, delay in payment, and the outcome achieved. (Barry Decl. ¶ 13.)

A multiplier is appropriate only when factors not already reflected in the lodestar, such as extraordinary skill, exceptional results against heavy odds, or a truly contingent risk of nonrecovery, justify enhancement. (*Garcia, supra*, 21 Cal.App.5th at 1261.) The contingency nature of Song-Beverly work does not alone support a multiplier, because the fee-shifting statute makes recovery of fees mandatory for a prevailing buyer; the risk is minimal. (*Id.* at 1262.) Exceptional results require more than a successful settlement;

the question is whether the outcome was extraordinary in light of the difficulty of the case and the legal landscape.

Here, the case was resolved in seven months through GM's 998 Offer, with no trial, no dispositive motions decided, and no novel issues of law. The \$65,000 settlement (which included loan payoff and vehicle return) reflects a standard restitution-based Song-Beverly resolution. The case did not preclude other employment; it was staffed by five attorneys and settled before expert discovery or trial preparation. There is no showing that the outcome was exceptional or that the work required extraordinary skill not already compensated by the approved hourly rates. The contingent nature of the fee agreement is accounted for in the hourly rates themselves, which are market rates for contingency fee Song-Beverly work. (*Id.* at 1261.)

The Court therefore finds no basis for a multiplier and **DENIES** Plaintiffs' request for enhancement.

Litigation Costs and Expenses - Plaintiffs seek litigation costs and expenses totaling \$3,237.96 pursuant to their verified memorandum of costs, served on June 8, 2026. (Barry Decl. ¶ 17, Ex. 4.) With their reply papers, Plaintiffs additionally submitted supporting invoices reflecting the items of costs identified in the memorandum of costs.¹ (*Id.* at ¶ 4, Ex. 2.) GM did not file a motion to tax costs.

Under CCP § 1032(b), a prevailing party is entitled as a matter of right to recover costs. (CCP § 1032(b).) A prevailing party's verified memorandum of costs is *prima facie* evidence of the propriety of the items and amounts claimed, and where costs appear proper on their face, the burden shifts to the objecting party to show them unnecessary or unreasonable. (*Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131.) The exclusive vehicle for objecting to items claimed in a memorandum of costs is a timely motion to strike or tax costs filed under CRC Rule 3.1700(b). A party's failure to file such a motion within the time provided waives its objections to the claimed costs. (*Douglas v. Willis* (1994) 27 Cal.App.4th 287, 289–90 [“The ‘failure to file a motion to tax costs constitutes a waiver of the right to object.’”] [internal quotation omitted].)

Although GM's opposition brief raises specific objections to certain items in Plaintiffs' memorandum of costs, GM did not file a motion to tax costs. GM's objections to Plaintiffs' claimed costs are therefore waived, and the Court need not reach the merits of GM's cost objections.

Moreover, Civ. Code § 1794(d) permits a prevailing buyer to recover reasonable costs and expenses beyond the categories listed in section 1033.5, so long as the items were reasonably incurred in connection with the litigation. (*Warren v. Kia Motors Am., Inc.* (2018) 30 Cal.App.5th 24, 42–43.) The memorandum of costs lists filing and motion fees, jury fees, deposition costs, service of process, court reporter fees, electronic filing fees, and “Other” costs consisting of mediation fees and travel expenses associated

¹ New evidence submitted with reply papers is generally disfavored, but whether to accept such evidence is committed to the trial court's sound discretion. (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 241.) The Court exercises its discretion to consider the invoices attached to Plaintiffs' reply because they corroborate, rather than supplement, the items already claimed in Plaintiffs' verified memorandum of costs, and GM has not filed a motion to tax or otherwise identified any prejudice from their consideration.

with Plaintiffs' depositions, all of which appear reasonable and necessarily incurred on the face of the verified memorandum and are further supported by the invoices attached to Plaintiffs' reply. (Barry Reply Decl. ¶ 4, Ex. 2.)

Accordingly, the Court **GRANTS** Plaintiffs' request for litigation costs and expenses in the requested amount of **\$3,237.96**.

2.

CASE #	CASE NAME	HEARING NAME
CVME2605665	SERRANO VS BAMBOO INSURANCE SERVICES, LLC	DEMURRER

Tentative Ruling: Request for Judicial Notice Granted. Demurrer sustained on the Third (Negligent Misrepresentation) and Fifth (NIED) causes of action. Demurrer overruled on the Fourth (UCL) cause of action. Plaintiff granted 20 days leave to amend.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P. § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly pleaded, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Negligent Misrepresentation (3rd Cause of Action) - The elements of a negligent misrepresentation cause of action are (1) a representation as to past or existing material facts; (2) falsity of the representation; (3) defendant lacks reasonable grounds to believe the truth of the representation; (4) intent to induce reliance; (5) justifiable reliance by plaintiff; and (6) injury. (*National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc.* (2009) 171 Cal.App.4th 35, 50; *B.L.M v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 834.) A defendant who makes false statements "honestly believing that they are true, but without reasonable ground for such belief, ... may be liable for negligent misrepresentation" [Citations.] (*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408.)

Negligent misrepresentation is a form of fraud. (*Wong v. Stoler* (2015) 237 Cal.App.4th 1375, 1388.) Therefore, it is subject to strict requirements of particularity in pleading. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216.) Every element of the cause of action for fraud must be alleged in the proper manner and the facts constituting the fraud must be alleged with sufficient specificity to allow defendant to understand fully the nature of the charge made." (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant,